

# Quality Labs and Certification in Demand

The government of India is pushing the manufacturing industry for a huge surge in exports, and this is leading to the growth of the quality labs and certification industry

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A lab that is completely in line with international requirements and is ISO/IEC 17025 certified is known as a quality lab. Laboratories accredited to this international standard demonstrate their technical competency and ability to produce precise test and/or calibration data.

Testing service labs, such as STQC and TUV SUD, are becoming testing arms for the government of India, where they test and release reports that help the government take the decision on registration of products.

The initiatives taken by the government of India, like the Compulsory Registration Scheme (CRS), would force all the electronics goods of different rating, size and variety to be certified at least once every two years.

"Electronics Test and Development Centre (ETDC), Hyderabad addressed a meet with all manufacturers of electronic goods and promulgated the order 'Electronics and Information Technology Goods (Requirements of Compulsory Registration) Order, 2012' which came into effect from April 3, 2013, mandating (testing) compliance of goods to Indian safety standards and compulsory registration with Bureau of Indian Standards (BIS) by the stakeholders, including manufacturers or importers or stockists or distributors," says P. Chow Reddy, managing director, Interleaved Technologies.

## Overall growth factors

The growth of these labs is directly dependent on the requirements of the manufacturing industry.

**Export of goods.** The government of India is pushing the manufacturing industry for a huge surge in exports,



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| <b>STRENGTHS</b> <ul style="list-style-type: none"> <li>• The global information</li> <li>• The know-how of the products</li> <li>• The product requirements</li> <li>• The regulatory requirements of various countries</li> </ul> | <b>OPPORTUNITIES</b> <ul style="list-style-type: none"> <li>• Growth of the Indian Electronics Industry</li> <li>• Government subsidies and investments</li> <li>• Tax benefits on technology growth</li> <li>• Improvement of India's share in domestic manufacturing supply</li> </ul> |
| <b>SWOT</b>                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                          |
| <b>WEAKNESSES</b> <ul style="list-style-type: none"> <li>• High dependence of the labs on local testing and requirements</li> <li>• Less focus on export oriented testing and certification</li> </ul>                              | <b>THREATS</b> <ul style="list-style-type: none"> <li>• Lot of price erosion in terms of services</li> <li>• Thrilled manpower</li> </ul>                                                                                                                                                |

Fig. 1: SWOT analysis for quality labs and certification

and this is leading to the growth of the quality labs and certification industry. The question is how? All electrical and electronics goods that are to be exported to other countries have to fulfil certain safety norms and certification requirements. The World Trade Organisation (WTO) and Technical Barrier to Trade (TBT) recommend the adoption of these international standards and ensure that they are certified for the same in order to facilitate their trade. Thus the increase in exports is increasing the demand of compliance measures, thereby increasing the demand for quality test labs and certifications.

Suresh Kumar, senior vice president, consumer product services, TUV SUD says, "Today, the Indian market is competing with the global expertise on the electronics products where we form a very small part exporting less than one per cent of that of the global exports. Then, there are other factors, like the products manufactured here

meet very little safety criteria as compared to the products from the US or Europe. So the main purpose of labs in India is to assist the manufacturers to meet the safety criteria for their products by transferring the know-how of what they gain globally."

**Regional impacts.** The productivity of labs in a country is not only dependent on the type of industry, it also

has certain regional impact. The policy and regulations for products in any particular region depend on both the consumers and their stakeholders, such as buyers, industrial houses, retail markets and other entities that help maintain the minimum quality level

of these products and goods.

Each region has its own electrical parameter and environmental conditions which increase the demand for labs with those testing and certification abilities. This helps small regional labs grow, although this growth is not to a large extent.

**New and upcoming products.** Currently, not only in India but all across the world we can see a huge demand for new products with latest technologies. Even the government of India is encouraging new Wi-Fi products along with photovoltaics. Government has also bifurcated the schemes related to electronics into different subsections to encourage the production of new products.

Now, as per the schemes, there are new standards that involve new testing tools, testing criteria, new skills and new certification requirements at times. Increased investment by the government in the manufacturing sec-